

R K Swamy Limited

Company Overview:

R K Swamy Limited is a leading integrated marketing service group in India, providing a one-stop solution for creative, media, data analytics, and market research services. It offers a comprehensive range of services in three interrelated business segments – (1)Integrated Marketing Communications, (2)Customer Data Analytics and (3)MarTech and Full-Service Market Research. With a track record of over five decades, the company has served leading companies such as Aditya Birla Sun Life AMC Limited, Dr. Reddy's Laboratories Limited, Havells India Limited, and Union Bank of India.

Key Highlights:

1. Integrated marketing communications business segment: It includes creative and digital content, media (including digital), events and activation planning, buying and executing and other services such as public relations, social media management and pharmaceutical communication. Social media advertising has gained significant popularity and the company's creative advertising teams create interactive campaigns for the clients.

2. Customer Data Analytics and MarTech segment: It includes services such as customer data analytics, campaign management, sentiment analysis and loyalty program management. Indian businesses are increasingly adopting MarTech solutions to gain insights into consumer behavior and optimize marketing strategies. The company's subsidiary, Hansa Customer Equity is among the top 10 groups within this segment, providing integrated marketing solutions and is a key player in the industry.

3. Full Research segment: It offers customer segmentation, consumer surveys, customer experience measurements, brand equity and satisfaction indices, and consumer intelligence. According to the CRISIL report, the company is among India's top five Full-Service Market Research agencies. Hansa Research, the company's subsidiary provides similar services. Market research helps companies assess the effectiveness of their advertising and marketing campaigns through surveys, focus group discussions and customer data analysis.

4. Well diversified customer base with long standing relationships: The business model is client-centric, and the company caters to over 4,000 organizations across multiple industries. The company has served 380 clients in the last six months with many of them being repeat clients. The company's expertise spans various kinds of organizations, including public and private sector enterprises, multinational corporations and NGOs, among others. The company has specialized in the BFSI, automotive, FMCG, consumer durables, retail and e-commerce sectors.

Valuation: The company is valued at FY23 P/E and EV/EBITDA multiple of 46.5x and 26.0x at the upper price band on post-issue capital. The company is raising funds through fresh issue to set up a new Digital Video Content Production Studio (DVCP), Customer Experience Centres (CEC) and Computer Aided Telephonic Interview Centres (CATI). The company has better return ratios as compared to its peers. While looking at the industry growth, Indian companies are expected to spend 3.5-3.7%/1.2-1.4% of the operating revenue on marketing/ advertisements.

Issue Details	
Date of Opening	4 th March 2024
Date of Closing	6 th March 2024
Price Band (Rs)	270 -288
Fresh Issue (Rs cr)	173
Offer for sale	87,00,000 (No of shares)
Issue Size (Rs cr)	424
No. of shares	1,51,07,407 – 1,47,06,944
Face Value (Rs)	5
Post Issue Market Cap (Rs cr)	1,373 – 1,453
BRLMs	SBI Capital Markets Limited, IIFL Securities Limited, Motilal Oswal Investment Advisors Limited
Registrar	Kfin Technologies Limited
Bid Lot	50 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding working capital requirements of the Company	54.0
Funding capital expenditure to be incurred by the Company for setting up a DVCP Studio	11.0
Funding investment in IT infrastructure development of the company, and company's material subsidiaries Hansa Research and Hansa Customer Equity	33.3
Funding setting up of new CEC and CATI of the Company	21.7
General corporate purposes*	-
Total proceeds from fresh issue**	173.0

*Subject to the above, the amount to be utilised towards general corporate purposes shall not exceed 25% of the Gross Proceeds.

**To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	3,69,15,820	83.0
Public & Others	75,41,320	17.0
Total	4,44,57,140	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,33,39,634	66.1
Public & Others	1,71,24,450	33.9
Total	5,04,64,084	100.0

Source: RHP, SSL Research

Key Financials

Particulars	FY21	FY22	FY23	1HFY24
Revenue from operation (Rs cr)	174	234	293	141
EBITDA (Rs cr)	19	34	56	20
PAT (Rs cr)	3	19	31	8
EBITDA Margin (%)	11.0	14.4	19.0	13.8
PAT Margin (%)	1.8	8.2	10.7	5.6
EPS (Rs)	0.7	4.3	7.0	1.8*
ROE (%)	84.3	117.8	69.1	15.5*
ROCE (%)	27.9	67.7	96.9	13.3*
Total Debt / Equity (x)	12.5	1.8	0.1	1.0*

* Not Annualized

Source: RHP, SSL Research

Risk Factors

- **Heavy dependency on the top 10 customers:** The company is dependent on the top ten customers for over 50% of revenue (For 1HFY24). Losing any of them or a reduction in their marketing budget will adversely affect the financial condition of the company.
- **Upgrading and adopting new technology:** Failing to upgrade data analytics capabilities in line with the latest technologies or making inaccurate data-based predictions could harm services and clients' satisfaction. Implementing new technologies may also lead to additional costs that could affect the business and financial condition.
- **Increase in the debtor days:** Clients may delay or default on their payments. This could adversely affect the business and financial condition.
- **Dependent on third-party services:** The company's asset-light model has low capital requirements but increases its dependence on third-party services. These services include advertising platforms, designers, production houses, and intermediaries for data analytics and research. Inefficient management of these services may adversely affect business operations and expenses.

Growth Strategy

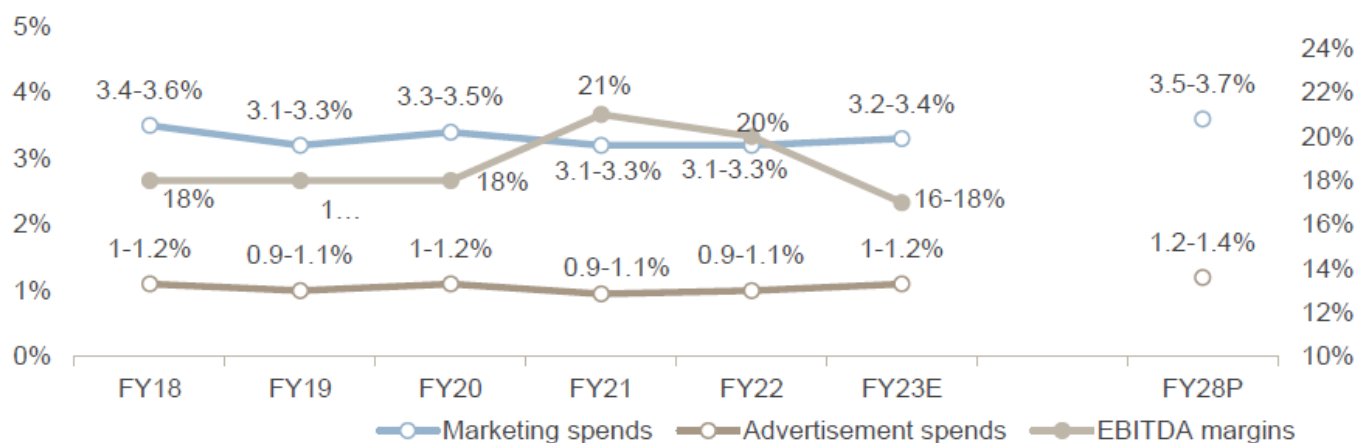
- Deepening existing client relationships, expanding client base while focusing on key sectors.
- Focusing on the creation of digital content at scale.
- Expanding presence in domestic and international markets.
- Focus on new initiatives aimed at enhancing the products and service portfolio.
- Continue to focus and invest in talent retention, enhancement, and expansion.

Industry Overview

Marketing and advertising are rising significantly with an increase in the revenue growth of the companies

CRISIL MI&A defines marketing spends as spends on advertisements and communications, brand activation events, application and website development and management, loyalty program spends, brand & marketing strategy development and management etc. Indian companies' marketing spends as a percentage of revenue has remained in the range of 3.1%-3.6% in the past five fiscals. Going forward also, same robust growth is expected as Indian corporate revenue has grown at a CAGR of 9.5% in the past five fiscals (for 748 listed entities), and marketing spends have also grown significantly in absolute terms. Supported by the growth in the economy, internet connectivity and increase in consumer base, Indian companies spends on marketing are expected to be in the range of 3.5-3.7% of the operating revenue, while spends on advertisements will reach 1.2-1.4% by FY28.

Trend in marketing, advertisement spends and EBITDA margins in India

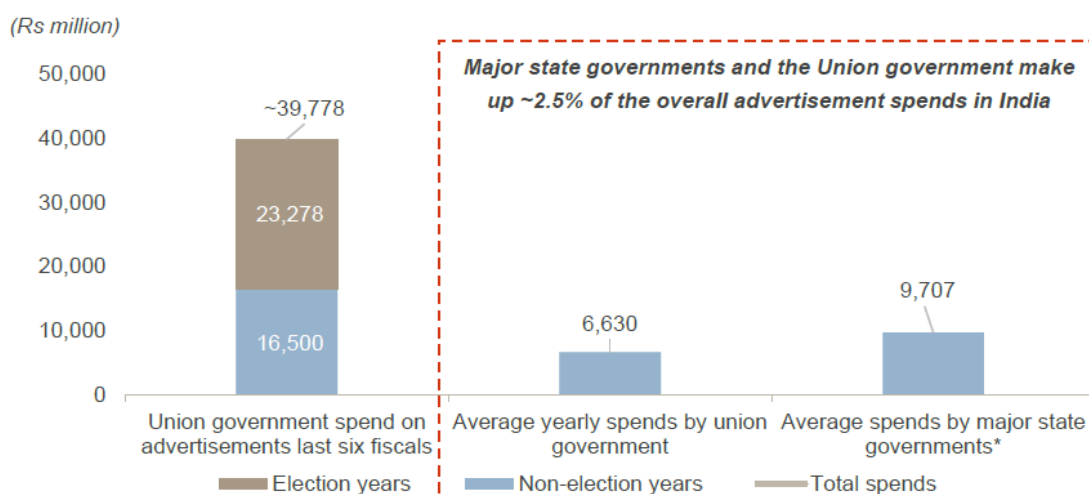


Source: RHP, SSL Research

Government a key stakeholder in the Indian marketing services industry

The government spends on advertising to create awareness about its policies, especially in rural areas. Advertising is also used to promote health and education. State-wise spends have increased due to digital and social media. The Union government spent Rs 3,978 cr on advertising in the past six years. The government is a significant customer for the marketing services industry.

Government spends on advertisements



Source: RHP, SSL Research

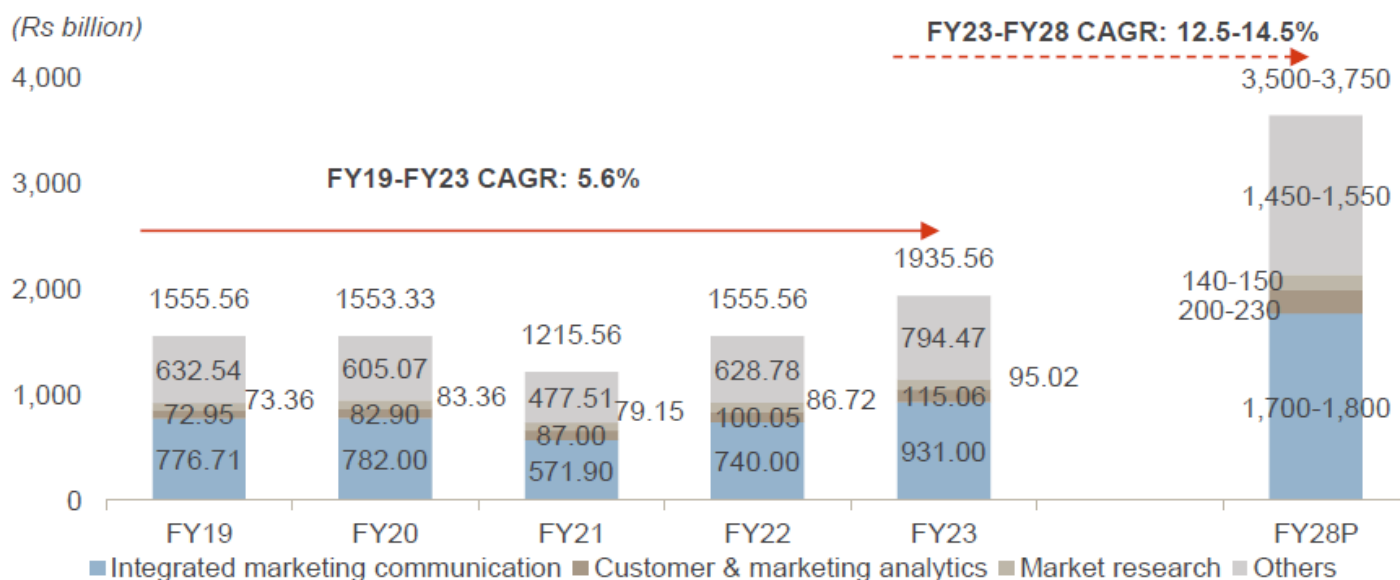
Overall marketing services in India is expected to grow at the CAGR of 12.5-14.5% from FY23 to FY28

The marketing services market in India grew at a CAGR of 5.6% between FY19 and FY23, reaching Rs 1,93,600 cr in FY23, supported by growth in the marketing spends of Indian corporate companies, rise in revenue of companies and increase in GDP of the economy. Corporate revenue of 748 listed entities grew at a CAGR of 8.9% during the same period, which resulted in companies spending more on marketing activities. Advertisements form the biggest chunk of the overall marketing services market.

Digital advertisement spends and investments in Customer data analytics & MarTech are expected to drive the growth of the overall industry, which is expected to reach Rs 3,50,000-3,75,000 cr by the end of FY28. Marketing communication (advertising) is also expected to see double-digit growth during the same period. Within the full-service Market Research (including customer experience measurement) and Syndicated Studies, the top 10 companies would contribute to nearly 50% of the market, the rest is catered by mid to small-market research companies. In customer data analytics & MarTech segment, top 10 companies contribute 20-25% of the pie.

At a gross level, integrated marketing communication segment is fragmented with media companies and marketing services companies being major contributors to the market. Rest of the market is made up by celebrity management companies, production houses etc. At a net level for advertising service providers, more than 80% of the market is composed of integrated group companies such as Dentsu, Havas IPG, Omnicom, Publicis, RK Swamy Limited and WPP.

Overall marketing services in India (Rs billion)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	174	234	293
YoY growth (%)	-	35.1	24.8
Cost Of Revenues (incl Stock Adj)	44	74	93
Gross Profit	129	160	200
Gross margins (%)	74.6	68.3	68.2
Employee Cost	79	90	107
Other Operating Expenses	31	36	37
EBITDA	19	34	56
EBITDA margins (%)	11.0	14.4	19.0
Other Income	10	11	7
Net Interest Exp.	9	6	6
Depreciation	15	14	15
Exceptional Items	0	0	0
PBT	5	25	43
Tax	2	5	11
PAT	3	19	31
PAT margin (%)	1.8	8.2	10.7
EPS	0.7	4.3	7.0

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	34	27	37
Intangible Assets under development	7	5	4
Other Non current Assets	46	23	28
Current Assets			
Current Investment	3	2	2
Trade receivables	177	189	205
Cash and Bank Balances	41	43	14
Short-term loans and advances	54	83	1
Other Current Assets	29	33	23
Total Current Assets	304	351	245
Current Liabilities & Provisions			
Trade payables	199	226	197
Other current liabilities	9	109	31
Short-term provisions	12	9	13
Total Current Liabilities	219	344	242
Net Current Assets	84	7	3
Total Assets	171	62	72
Liabilities			
Share Capital	4	4	4
Reserves and Surplus	0	12	41
Total Shareholders Funds	4	16	45
Total Debt	46	29	5
Long Term Provisions	6	2	3
Other Long Term Liabilities	116	15	19
Net Deferred Tax Liability	0	0	0
Total Liabilities	171	62	72

(Rs cr)	FY21	FY22	FY23
Cash flow from Operating Activities	50	64	29
Cash flow from Investing Activities	(22)	(21)	(14)
Cash flow from Financing Activities	(28)	(33)	(44)
Free Cash Flow	49	60	24

RATIOS			
	FY21	FY22	FY23
Profitability			
Return on Assets (%)	0.8	4.7	10.0
Return on Capital (%)	27.9	67.7	96.9
Return on Equity (%)	84.3	117.8	69.1
Margin Analysis			
Gross Margin (%)	74.6	68.3	68.2
EBITDA Margin (%)	11.0	14.4	19.0
Net Income Margin (%)	1.8	8.2	10.7
Short-Term Liquidity			
Current Ratio (x)	1.2	0.9	1.0
Quick Ratio (x)	1.2	0.9	1.0
Avg. Days Sales Outstanding	372	295	255
Avg. Days Inventory Outstanding	—	—	—
Avg. Days Payables	419	352	246
Fixed asset turnover (x)	5.1	8.8	8.0
Debt-service coverage (x)	0.3	1.0	5.5
Long-Term Solvency			
Total Debt / Equity (x)	12.5	1.8	0.1
Interest Coverage Ratio (x)	1.5	5.2	8.6
Valuation Ratios			
EV/EBITDA (x)	67.1	37.4	22.9
P/E (x)	416.1	66.5	41.0
P/B (x)	351.0	78.3	28.3

Source: RHP, SSL Research

Peer Comparison

	R K Swamy Limited	Affle (India) Limited	Latent View Analytics Limited	Vertoz Advertising Limited
CMP	288.0	1,104.0	505.0	813.0
Sales (Rs cr)	292.6	1,434.0	539.0	83.0
EBITDA (Rs cr)	55.6	288.0	145.0	18.0
Net Profit (Rs cr)	31.3	245.0	155.0	11.0
M.Cap (Rs cr)	1,453.4	15,496.0	10,418.0	1,291.0
Enterprise Value (Rs cr)	1,444.2	15,229.0	10,222.0	1,294.0
EBITDA Margin (%)	19.0	20.1	26.9	21.7
Net Margin (%)	10.7	17.1	28.8	13.3
M.cap/Sales (x)	5.0	10.8	19.3	15.6
PE(x)	46.5	63.2	67.2	117.4
EV/EBITDA (x)	26.0	52.9	70.5	71.9
RoE (%)	69.1	18.5	10.7	10.7
RoCE (%)	96.9	20.2	13.7	13.7

The data is based on FY23 financial data.

For R K Swamy Limited the P/E, Market cap and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 28th February 2024.

Source: RHP, SSL Research

SBICAP Securities Limited

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Portfolio Manager: INP000004912 | IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

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